

ANTI-MONEY LAUNDERING & FRAUD RISK POLICY

Credit Underwriter AI | Enterprise Portfolio Knowledge Base

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Version	1.0
Classification	Internal Use Only
Effective Date	01 August 2026
Owner	Financial Crime Risk & Compliance
Review Cycle	Annual or on material change

1. Purpose

Define financial-crime screening and fraud-risk controls supporting Fraud Detection, Policy Compliance and Manual Review. This is an illustrative internal policy and must be aligned with current applicable AML/CFT requirements before real-world use.

2. Scope

This fictional internal policy is designed for the Credit Underwriter AI portfolio project. It supports automated underwriting, human review, auditability and policy-aware AI explanations. It is not a policy of any real financial institution.

3. Financial Crime Principles

- Risk-based prevention, detection, escalation and documentation.
- Use multiple signals rather than a single anomaly as conclusive proof.
- Preserve evidence supporting alerts and decisions.
- Separate an alert from a confirmed finding.
- Escalate material concerns to authorized compliance personnel.

4. Illustrative Fraud Risk Bands

Score	Category	Treatment
0–19	Low	Standard processing
20–49	Medium	Enhanced checks
50–100	High	Manual review and fraud investigation workflow

5. Fraud Signals

- Document tampering or inconsistent metadata where available.
- Income evidence inconsistent with bank credits.
- Repeated or unusual transaction patterns.
- Identity/document mismatch.
- Unusual application velocity or duplicate applications.
- Suspicious device/session or account behaviour where such telemetry is legitimately available.
- Unexplained third-party funding or repayment patterns.

6. Alert Handling

- Create alert with signal, evidence, severity and timestamp.
- Correlate related alerts before assigning an overall category.
- Do not automatically equate an alert with fraud.

- High-severity alerts require human investigation before approval.
- Close alerts only with a recorded disposition and rationale.

7. AML/KYC Escalation

- Potential sanctions or prohibited-party match → stop/hold according to configured compliance workflow.
- Material identity concern → KYC escalation.
- Suspicious transaction/source-of-funds concern → compliance escalation.
- Confirmed policy violation → reject/hold according to authority matrix.

8. AI Controls

- Fraud scores are risk signals, not legal findings.
- LLM explanations must never accuse an applicant of criminal conduct without authoritative evidence and authorized disposition.
- Evidence references must accompany material fraud explanations.
- False-positive and false-negative outcomes should be monitored.

Document Control

Version	Date	Change
1.0	01 August 2026	Initial enterprise-style portfolio knowledge-base document

Important Disclaimer

All numeric thresholds, approval limits, scoring bands and operating procedures in these internal documents are illustrative project controls. They must not be presented as universal regulatory requirements. Regulatory content is maintained separately in the RBI Guidelines document and should be refreshed from authoritative RBI sources before any real-world use.